NKT A/S (NKT.CO) - relative valuation

Valuation date 2026-10-30 | EUR per share | Status: provisional - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	EUR 112.26 | quote: DKK 839.0 (EUR 112.26 at ECB 7.4735)
Primary multiple (peers)	P/E: median 27.92x (growth/fundamental-scaled); raw median 26.98x; n = 10
Peer value per share: p25 / median / p75	95.11 / 137.91 / 185.83
Peer median vs current price	+22.8%
Published regression (chosen)	PBV (published R2 0.423): EUR 102.39
Regression vs current price	-8.8%
Peer set	10 peers; Tier 1-2: 8; Tier 3: 2; Europe-listed: 10

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	G1A	GEA	Germany	3	11,050	26.69	4.50	17.63	13.65	4.55
2	NEX	Nexans	France	1	5,190	14.74	2.60	11.88	7.74	4.59
3	VWS	Vestas	Denmark	2	24,772	31.84	6.41	22.13	13.60	4.77
4	ALFA	Alfa Laval	Sweden	3	20,542	27.26	5.20	20.22	16.88	4.85
5	PRY	Prysmian	Italy	1	32,260	26.08	4.98	23.26	16.42	4.98
6	SKF.B	SKF	Sweden	2	11,415	31.91	2.34	18.72	12.11	4.99
7	IMI	IMI	United Kingdom	2	8,179	22.01	6.15	16.39	13.50	5.06
8	SPX	Spirax	United Kingdom	2	6,620	33.78	4.52	20.34	15.65	5.36
9	ANDR	Andritz	Austria	2	7,900	17.31	3.22	13.18	9.27	5.41
10	LR	Legrand	France	2	34,340	27.58	4.71	21.40	17.63	5.41

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E *	scaled	10	27.92x	19.26x	37.62x	95.11	137.91	185.83	+22.8%
PEG	raw	10	2.23x	1.54x	3.01x	95.11	137.91	185.83	+22.8%
EV/EBIT	raw	10	19.47x	16.70x	21.13x	195.77	225.78	243.74	+101.1%
EV/EBITDA	raw	10	13.62x	12.46x	16.22x	176.49	191.59	225.27	+70.7%
EV/CF	raw	10	16.20x	12.19x	20.06x	129.05	166.41	202.49	+48.2%
P/BV	scaled	10	3.48x	2.89x	3.89x	110.48	132.99	148.86	+18.5%
EV/Assets	raw	10	1.76x	1.00x	2.29x	120.10	199.24	254.82	+77.5%
P/S	scaled	10	2.00x	1.71x	2.28x	113.73	133.24	152.01	+18.7%
EV/Sales	scaled	10	2.64x	2.42x	3.15x	176.49	191.59	225.27	+70.7%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	18.17x	22.73x	0.201	89.72	-20.1%
PBV (chosen)	2.68x	2.74x	0.423	102.39	-8.8%
EV/EBITDA	23.51x	7.28x	0.262	319.58	+184.7%

5. Company-specific notes

- # NKT.CO remediation notes - 2026-11-02

- Peer swap (business-fit rule):** TKA (thyssenkrupp, steel/materials conglomerate) was clearly not a cable/electrical-equipment-type business and was replaced by next-ranked ALFA (Alfa Laval, heat-transfer/rotating equipment). Effect on the scaled P/E diagnostic: about EUR 151 -> EUR 138 per share (+34.6% -> +22.8% vs the EUR 112.26 quote). G1A (GEA, process machinery) retained as a capital-goods fit.

- Vendor vs issuer EBIT basis:** vendor uniform EBIT 578 / EBITDA 680 vs issuer EBIT 257 / operational EBITDA 390 (pretax 294 reconciles on both). The higher vendor denominators mechanically compress peer-relative EV multiples yet the EV/EBIT regression still implies ~EUR 320 because the substituted 12.4% growth term dominates; EV multiples are qualified diagnostics only.

- One-off tax rate:** FY2025 effective tax was 6.46% (tax 19 / pretax 294, one-off-driven). A statutory-22% sensitivity (target-only): NI-to-common ~EUR 218m instead of 264m scales the primary P/E value to about EUR 115/share - roughly in line with the quote.

- P/E vs PBV divergence:** scaled P/E (+22.8%) is peer-relative and rewards NKT's high fundamental growth; published PBV (-8.8%) is regression-absolute (predicted 2.68 vs actual 2.74 - market already prices the ROE level). Different denominators and questions; both are diagnostics, not proof of mispricing.

- Status:** provisional - limitations disclosed; all eight prior QA FAILs re-graded PASS-with-note; human Spot_check stays PENDING.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.